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SERIES: UTILITIES

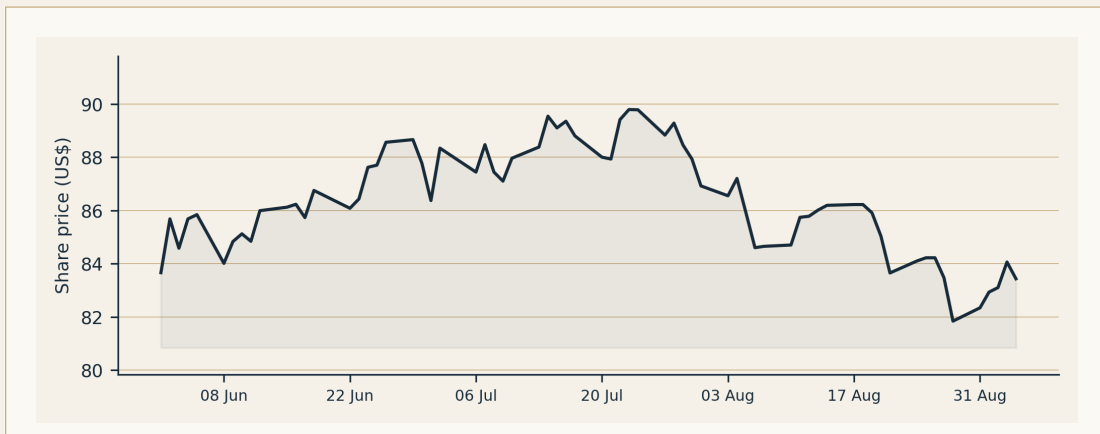
NEXTERA ENERGY

NextEra Energy, Inc.

NYSE: NEE · United States · Utilities — Regulated Electric

US\$83.43

Closing price, 4 September 2026 · Change: -0.75% · 52-week range: US\$67.31 – US\$97.30



Daily closing share price, 1 June 2026 – 4 September 2026. Source: Alpha Vantage market data (NYSE consolidated tape).

REPORT DATE
5 September 2026

ANALYST
Arthur Faugeron

TICKER / EXCHANGE
NEE / NYSE

Executive Summary

Business

NextEra Energy operates two principal businesses: Florida Power & Light (FPL), the largest regulated electric utility in the United States by retail customer count, and NextEra Energy Resources (NEER), the world's largest developer and operator of wind, solar and battery storage capacity. FPL earns a regulated return on a Florida rate base of roughly 36 gigawatts serving approximately 12 million people, while NEER sells contracted electricity and capacity to wholesale, corporate and utility offtakers across the United States and Canada, increasingly to data-centre and large industrial loads.

Financial Condition

Revenue reached US\$27.5 billion in fiscal 2025, up 11.0% year-over-year, though the series has been volatile because a large share of FPL revenue is a dollar-for-dollar fuel-cost pass-through. EBITDA was US\$16.2 billion and net income was US\$6.8 billion (24.9% net margin), a margin materially affected by production and investment tax credits that push the company's effective tax rate below zero in most years. Operating cash flow of US\$12.5 billion was insufficient to cover US\$9.3 billion of capital expenditure and US\$4.7 billion of dividends in 2025; free cash flow has been thin or negative in four of the last five years, reflecting a capital programme funded substantially through external debt and equity issuance rather than internally generated cash. Reported net debt stood at US\$92.8 billion at year-end 2025 (a Net Debt / EBITDA of approximately 5.7x).

Market Position

NextEra Energy's closest economically relevant peers are Duke Energy, Southern Company, Dominion Energy and American Electric Power, alongside indirect competitors for large-load power contracts such as Constellation Energy and Vistra Corp. Its principal competitive advantage is scale in renewable project execution combined with a large-cap, investment-grade balance sheet that supports capital deployment other developers cannot match; its principal competitive weakness is a growth-capital-intensive model that structurally depends on continued access to debt and equity markets and to federal renewable tax credit policy.

Valuation

At the 4 September 2026 close of US\$83.43, NextEra Energy's calculated market capitalisation was approximately US\$174.0 billion and calculated enterprise value approximately US\$281.4 billion. The stock traded at a trailing P/E of 18.68x, an EV/EBITDA of 15.86x (vendor-sourced basis) and a price/free-cash-flow multiple in excess of 50x on fiscal 2025 free cash flow — a multiple set that embeds a persistent-growth, capital-intensive business rather than a mature cash-generative one.

Investment Framework

What is attractive: a large, investment-grade regulated utility platform in a high-growth service territory, combined with the largest renewable-and-storage development backlog in the industry (35.1 gigawatts at the end of the second quarter of 2026) and direct exposure to data-centre electricity demand growth.

What is concerning: free cash flow has been negative or thin for most of the past five years; leverage metrics sit close to the thresholds rating agencies have identified for a downgrade; and the pending US\$66.8 billion all-stock acquisition of

Dominion Energy, announced 18 May 2026, introduces integration, financing and regulatory-approval risk on a scale the company has not previously undertaken.

What must go right: the Dominion Energy merger must clear state and federal regulatory review without material concessions or delay beyond the targeted second-half-2027 close; the renewables and storage backlog must convert into contracted, cash-generative capacity broadly in line with company guidance; and access to debt and equity capital must remain available on favourable terms.

What could break the thesis: a blocked or materially restructured Dominion merger; a sustained rise in long-term interest rates that raises the cost of the external financing the model depends on; or a federal policy change that curtails the transferable tax credits NEER relies on to underwrite new projects.

What appears to be priced in: a simplified two-stage dividend-discount analysis (Section B3), built on the company's own stated 6% near-term dividend-growth policy through 2028, implies a fair-value range mostly below the current share price; the market therefore appears to be pricing dividend and earnings growth that reaccelerates toward the 9%-plus longer-run guidance given for the combined post-merger platform through 2032, rather than the more modest near-term dividend policy alone.

Investment Profile

Business quality	Large-scale regulated utility combined with the industry's largest contracted renewables and storage platform; high but not exceptional regulatory-return visibility at FPL.
Financial quality	Revenue and earnings growing at a double-digit and high-single-digit pace respectively, but free cash flow structurally negative to thin; heavy reliance on external financing.
Competitive position	Leading scale in renewable development execution and interconnection queue positions; increasing competition from nuclear and gas independent power producers for data-centre contracts.
Growth profile	Company-guided 8%-plus adjusted EPS compound annual growth through 2032, supported by a US\$90–100 billion FPL capital plan and a 35.1-gigawatt NEER backlog.
Balance-sheet risk	Investment-grade (S&P A-) but with FFO/Debt and CFO-pre-working-capital/Debt ratios close to the levels rating agencies treat as downgrade triggers.
Valuation	Trades at a premium to regulated-utility peers on EV/EBITDA and P/E, consistent with its superior growth profile and pending merger optionality.
Market and technical profile	Low-beta (0.653) defensive equity that has nonetheless underperformed its own 200-day moving average through the third quarter of 2026 amid rising long-term interest rates.

A. About the Business

A1. Business Environment

NextEra Energy operates at the intersection of two distinct industries: rate-regulated electric utility distribution in Florida, and competitive development, construction and long-term contracted sale of wind, solar, battery-storage and (to a lesser degree) natural-gas generation across North America. The regulated side of the industry is capital-intensive, monopolistic within a franchised service territory, and its economics are set primarily by state public-service commissions that authorise a return on and of invested rate base rather than by open-market competition. Revenue growth tracks customer and usage growth plus commission-approved rate increases; profitability is a function of the allowed return on equity, the achieved capital structure, and operating-cost discipline. The competitive side of the industry — merchant and contracted renewable generation — is a project-finance business: developers compete for land, interconnection-queue positions, equipment supply and long-term power-purchase agreements (PPAs) with utilities, corporations and, increasingly, data-centre operators, and returns are set by achieved contract pricing, construction cost, financing cost and asset performance rather than by regulation.

Both halves of the industry are being reshaped by the same demand shock: a sharp increase in forecast US electricity demand driven by artificial-intelligence data-centre construction, industrial reshoring and transportation and building electrification, after two decades of broadly flat US electricity consumption. This has shifted incremental economic value toward companies that can add generation and grid capacity quickly, and toward utilities in states — Florida, Virginia and the Carolinas among them — where population and data-centre growth are concentrated. Federal renewable-energy tax credit policy is a second major swing factor: the transferable investment and production tax credits created and expanded by the Inflation Reduction Act, and their subsequent phase-down schedules under 2025 federal budget legislation, materially affect the achievable after-tax returns on new wind, solar and storage projects and are a direct input into project underwriting economics across the industry.

Industry stage (Reasoned): the regulated-utility segment is best characterised as mature but re-accelerating, as decades of low load growth give way to a multi-year capacity-investment cycle; the competitive renewables-and-storage segment is best characterised as growing but policy-sensitive and increasingly capital-constrained, as interconnection-queue congestion, tariff policy on imported equipment and tax-credit uncertainty slow the pace at which announced projects convert to operating assets.

A2. What Does the Company Do?

At Florida Power & Light, a dollar enters the business when a residential, commercial or industrial customer in Florida pays an electric bill set under rates approved by the Florida Public Service Commission. FPL's approximately 93,000 circuit miles of transmission and distribution lines and 932 substations move power generated from a fleet of roughly 36,000 megawatts of nuclear, natural-gas, solar and battery-storage capacity to more than six million customer accounts covering about 12 million people. Because fuel costs are passed through to customers dollar-for-dollar via a separate fuel clause, FPL's own economic margin is earned on the non-fuel portion of the bill, which is set to recover operating costs and depreciation and to deliver the commission-authorised return on rate base; capital spent on grid modernisation, storm hardening and new generation is added to rate base and recovered, with a return, over the life of the asset.

At NextEra Energy Resources, a dollar enters the business when a utility, corporation, government entity or, increasingly, a data-centre operator signs a long-term power-purchase agreement or tolling agreement for wind, solar, battery-storage or gas-fired output, typically for periods of ten to twenty years. NEER then finances, builds and operates the asset (often using tax-equity and portfolio-financing structures that share economics with institutional partners), earns contracted revenue over the asset's life, and periodically recycles capital by selling minority stakes in operating projects to reinvest in new development. The economically decisive stages of this model are development (securing land, interconnection rights and a signed offtake

contract), construction (managing equipment cost, tariff exposure and schedule), and long-term operation (maximising availability and managing financing cost).

Figure A2-1: Simplified operating and cash-flow model

CUSTOMER FPL: ~6.0m Florida customer accounts, ~12m people. NEER: utilities, corporates, data-centre operators, government buyers under 10–20yr PPAs.	PRODUCT / SERVICE Regulated grid delivery, nuclear/gas/solar generation (FPL); wind, solar, storage and gas generation and capacity (NEER).	REVENUE Regulated tariff + fuel pass-through (FPL); contracted PPA revenue and capacity payments (NEER).
COSTS Fuel (passed through), O&M, depreciation, interest on rate-base and project debt.	OPERATING PROFIT FPL: allowed ROE on rate base. NEER: contracted margin net of financing and tax-credit monetisation.	CAPITAL ALLOCATION Re-invested into FPL grid/generation (~US\$12–13bn 2026 capex) and NEER backlog (35.1GW); dividend growth; balance-sheet funding of the growth programme.

Source: Company second-quarter 2026 earnings release and FPL company profile; figures as reported by the company (Sourced).

A3. Business and Relationship Network

NextEra Energy Capital Holdings (NEECH) is the wholly owned financing subsidiary that raises debt on behalf of NEER and other non-FPL operating businesses, keeping FPL's own regulated balance sheet ring-fenced for rating-agency and rate-setting purposes. NextEra Energy Partners (NEP), a separately listed limited partnership originally sponsored by NextEra Energy, holds interests in a portfolio of contracted renewable and pipeline assets and has historically been a vehicle through which NextEra recycled capital, though NEP has more recently divested non-core natural-gas pipeline assets to fund buyouts of convertible equity financing arrangements. On the supply side, NEER depends on wind-turbine, solar-panel and battery-cell manufacturers (a market concentrated among a small number of global suppliers, several exposed to tariff and trade-policy risk) and on transmission-equipment suppliers for FPL's grid programme. On the demand side, FPL's customer base is the entire population and economy of its Florida service territory, while NEER's offtake counterparties include investor-owned and municipal utilities, large corporations with clean-energy procurement targets, and a fast-growing set of data-centre developers and hyperscale technology companies.

The most significant relationship under formation is with Dominion Energy: on 18 May 2026 NextEra Energy agreed to acquire Dominion Energy in an all-stock transaction valued at approximately US\$66.8 billion, under which Dominion shareholders will receive a fixed 0.8138 NextEra Energy shares for each Dominion share held plus a one-time cash payment of US\$360 million distributed across all Dominion shares at closing, leaving legacy NextEra shareholders with approximately 74.5% and legacy Dominion shareholders with approximately 25.5% of the combined company. Shareholders of both companies approved the transaction in early September 2026, and the companies have stated the deal is expected to close within twelve to eighteen months of the May 2026 announcement (that is, by roughly the second half of 2027), subject to shareholder approvals already obtained, Hart-Scott-Rodino antitrust clearance, Federal Energy Regulatory Commission approval under Section 203 of the Federal Power Act, Nuclear Regulatory Commission approval, and review by the Virginia State Corporation Commission, the North Carolina Utilities Commission and the Public Service Commission of South Carolina. If completed, the combination would create a company with roughly 110 gigawatts of generation capacity, a combined regulated rate base of approximately US\$138 billion targeted to grow at approximately 11% annually through 2032, and approximately 10 million customer accounts across Florida, Virginia, North and South Carolina, retaining the NextEra Energy name and NYSE ticker "NEE" and operating from twin headquarters in Juno Beach, Florida and Richmond, Virginia (with Dominion Energy South Carolina's operational headquarters remaining in Cayce, South Carolina), while preserving the Dominion Energy Virginia, North Carolina and South Carolina operating brands. NextEra has proposed

US\$2.25 billion in customer bill credits for Dominion's Virginia, North Carolina and South Carolina customers spread over the two years following closing. John Ketchum would serve as chairman and CEO of the combined company; Dominion's current chair, president and CEO Robert Blue would become president and CEO of regulated utilities and join the combined board; and Scott Bores would serve as president and CEO of Florida Power & Light. The rationale explicitly cited by both companies centres on Dominion's Virginia service territory, one of the most concentrated data-centre markets in the United States, and on a combined large-load contract pipeline the companies describe as exceeding 130 gigawatts.

A4. Competition

NextEra Energy's most economically relevant competitors are other large, investment-grade regulated utility holding companies that also compete for capital, engineering and construction talent, and — increasingly — for data-centre power contracts, together with independent power producers that compete directly for large-load offtake agreements.

TABLE A4-1: COMPETITIVE COMPARISON — REGULATED-UTILITY AND LARGE-LOAD POWER PEERS

Company	What they sell	Geographic exposure	Business model	Relative position vs. NextEra Energy
Duke Energy (DUK)	Regulated electricity and gas distribution	Carolinas, Florida, Indiana, Ohio, Kentucky	Purely regulated utility; ~US\$103bn five-year capital plan aimed partly at data-centre demand	More predictable regulated-only earnings; lower growth and lower valuation multiple than NextEra
Southern Company (SO)	Regulated electricity and gas	Georgia, Alabama, Mississippi	Diversified regulated/wholesale utility with low-carbon and distributed-energy focus	Comparable regulatory quality; smaller and slower-growing renewable development arm
Dominion Energy (D)	Regulated electricity and gas	Virginia, North/South Carolina	Regulated utility with heavy Virginia data-centre exposure; pending NextEra merger target	NextEra's proposed combination partner; on a standalone basis, smaller and more leveraged, with a lower credit rating trajectory
American Electric Power (AEP)	Regulated electricity, transmission	11 Midwest and mid-Atlantic states	Transmission-heavy regulated utility	Larger transmission franchise; materially smaller renewable-development platform
Constellation Energy	Nuclear and other generation, retail power	Mid-Atlantic, Midwest, Texas	Merchant generator with large nuclear fleet marketed directly to data-centre customers	Direct competitor for data-centre power contracts; no regulated distribution utility of FPL's scale
Vistra Corp	Merchant generation, retail power	Texas (ERCOT), PJM, other US markets	Merchant generator and retailer, expanding nuclear and gas capacity for large loads	Direct competitor for large-load contracts; higher merchant-market earnings volatility, no rate-regulated base

Source: Company filings and investor materials; market data as of early September 2026 (Sourced). Peers selected for economic relevance — competition for regulatory capital, data-centre offtake contracts and development talent — rather than GICS classification alone.

A5. Competitive Differences

NextEra Energy's principal advantages are scale in renewable-project execution, a large and investment-grade balance sheet that supports a capital programme few competitors can match, and a first-mover position in aggregating the interconnection-queue capacity, land and equipment-supply relationships needed to build wind, solar and storage projects quickly. The

company's renewables-and-storage backlog of 35.1 gigawatts at the end of the second quarter of 2026 is, by its own description, the largest in the industry. FPL's Florida service territory, with above-average population growth and among the lowest customer bills in the country, gives the regulated segment a constructive regulatory and growth backdrop relative to slower-growing utility territories elsewhere in the country.

The principal disadvantages are structural. The business is highly capital-intensive and has generated negative or thin free cash flow in four of the past five years, making growth dependent on continued, favourable access to debt and equity capital markets — an advantage in a low-rate environment that becomes a constraint when long-term rates are elevated, as they were through 2026. NEER's returns depend materially on federal tax-credit policy that is subject to legislative change, and its 35-gigawatt backlog is a pipeline of intent, not contracted certainty: a portion of announced projects will not proceed on the schedule or economics originally assumed. The pending Dominion Energy acquisition, while strategically rational on paper, introduces integration and regulatory-approval risk on a scale NextEra has not previously undertaken, and dilutes existing shareholders by roughly one-quarter of the combined company's shares.

Moat assessment (Reasoned): Moderate. FPL's moat is structural but capped by regulation — it earns a fair, not excess, return on a franchised monopoly. NEER's moat is a scale-and-execution advantage that is real but erodible as competitors (utility-affiliated and merchant alike) build comparable renewable-development capability; it is a temporary-to-structural advantage rather than a durable one in the way a network effect or embedded switching cost would be.

A6. Industry Trend

US electricity demand is inflecting upward after roughly two decades of near-zero growth, driven by data-centre construction to support artificial-intelligence workloads, industrial electrification and reshoring, and growing electric-vehicle and building-electrification load. This is a genuinely structural change in the demand outlook for the industry, not a temporary cyclical swing, though the pace at which announced data-centre projects are actually built and energised is less certain — industry commentary has flagged that a meaningful share of prospective large-load projects nationally carry a low probability of proceeding on their originally announced schedule, reflecting interconnection-queue congestion, permitting delays and, in some markets, local moratoria on new data-centre construction.

Two forces could reverse or slow the current trend: a change in federal tax-credit policy that raises the after-tax cost of new wind, solar and storage capacity, and a sustained period of higher long-term interest rates that raises the cost of the debt- and equity-funded capital programmes the entire industry — NextEra included — is pursuing. Consolidation is also a live theme, evidenced directly by the proposed NextEra-Dominion combination, as regulated utilities seek scale to fund increasingly large capital programmes and to secure positions in the highest-growth service territories.

Industry classification (Reasoned): Growing and consolidating, a shift from the "mature and stable" characterisation that applied to the US regulated-utility sector for most of the prior two decades.

A7. Management

John W. Ketchum has served as President and Chief Executive Officer since March 2022 and became Chairman of the Board in July 2022, having previously led NextEra Energy Resources and served as the company's chief financial officer; his tenure has been defined by continued expansion of the renewables-and-storage backlog and, most consequentially, the proposed acquisition of Dominion Energy. Armando Pimentel was appointed Vice Chairman of NextEra Energy in May 2026, coinciding with the announcement of the Dominion transaction. Kirk Crews serves as Executive Vice President, Finance and Chief Financial Officer, and Bob Coffey serves as Executive Vice President and Chief Nuclear Officer, overseeing FPL's nuclear fleet. Third-party governance data compiled by external analytics providers puts the average tenure of the current management team at approximately 2.9 years and the average board tenure at approximately 4.8 years, indicating a

management team that has been substantially refreshed in the period leading into the Dominion transaction (Sourced, third-party aggregator; not independently verified against the proxy statement).

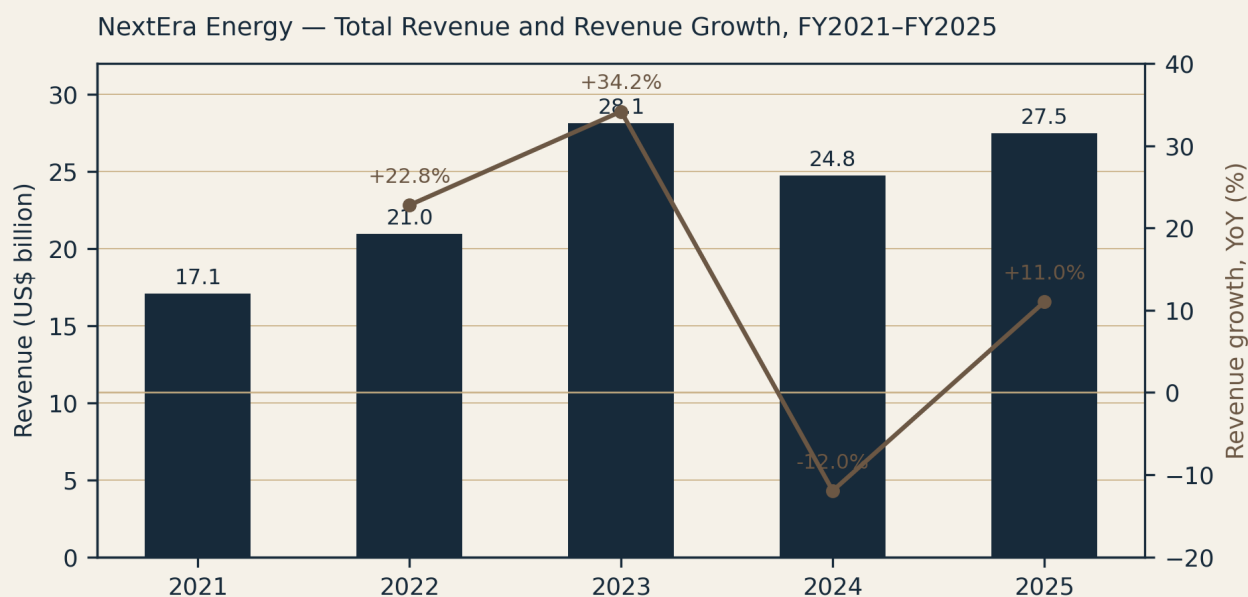
Capital allocation (Reasoned): management has consistently prioritised reinvestment into rate base and the renewables backlog over buybacks, funding a rising dividend — increased at roughly a high-single-digit percentage rate in each of the past five years — primarily through retained earnings, external debt and periodic equity or minority-stake sales rather than free cash flow. This is a conventional capital-allocation posture for a growth-phase regulated utility, but it leaves the company more exposed than a self-funding peer to a sustained increase in the cost of external capital, and it means shareholder returns depend on management continuing to secure attractive-return investment opportunities rather than a demonstrated hurdle-rate discipline in a low-growth environment.

B. Evaluation

B1. Financial and Operating Metrics

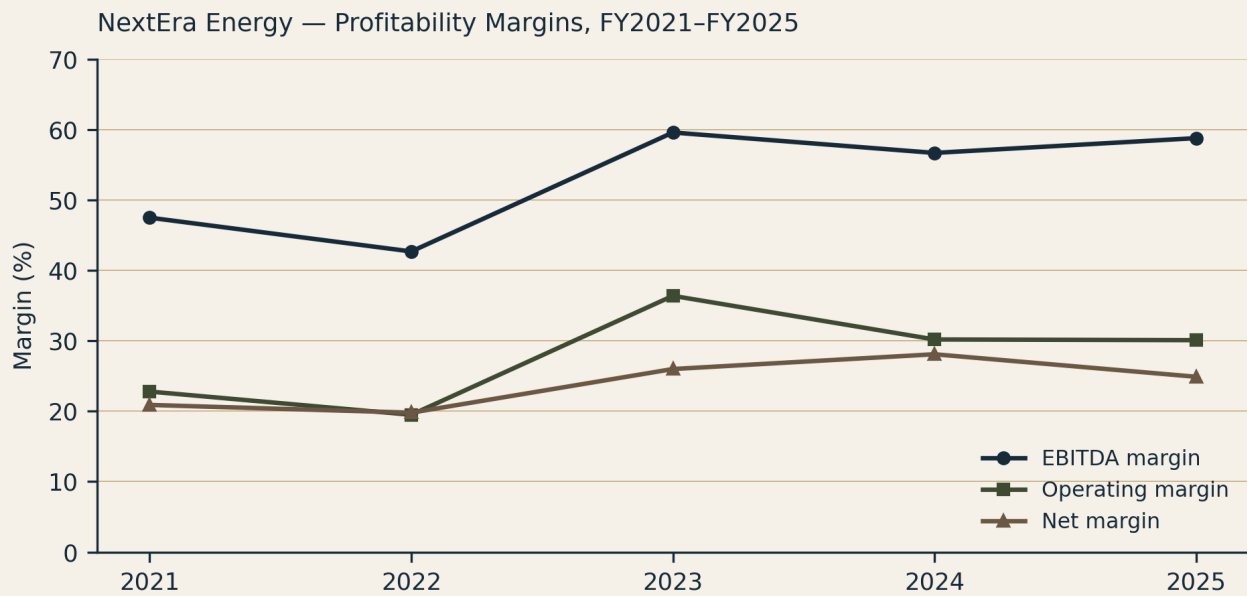
The metrics below are calculated from company-reported figures for fiscal years 2021 through 2025 (period ending 31 December) unless otherwise noted. NextEra Energy's effective tax rate has been negative or near zero in several recent years because of production and investment tax credits generated by its renewable portfolio; this materially affects net-margin and return-on-capital comparisons against non-utility or non-renewable-heavy companies and should be read with that context.

Figure B1-1: Revenue and revenue growth, FY2021–FY2025



Source: Company income statements as compiled by Alpha Vantage; figures reported by the company (Sourced). Revenue volatility between 2022 and 2024 reflects fuel-cost pass-through swings and NEER trading/hedging results rather than a change in underlying regulated economics.

Figure B1-2: Profitability margins, FY2021–FY2025

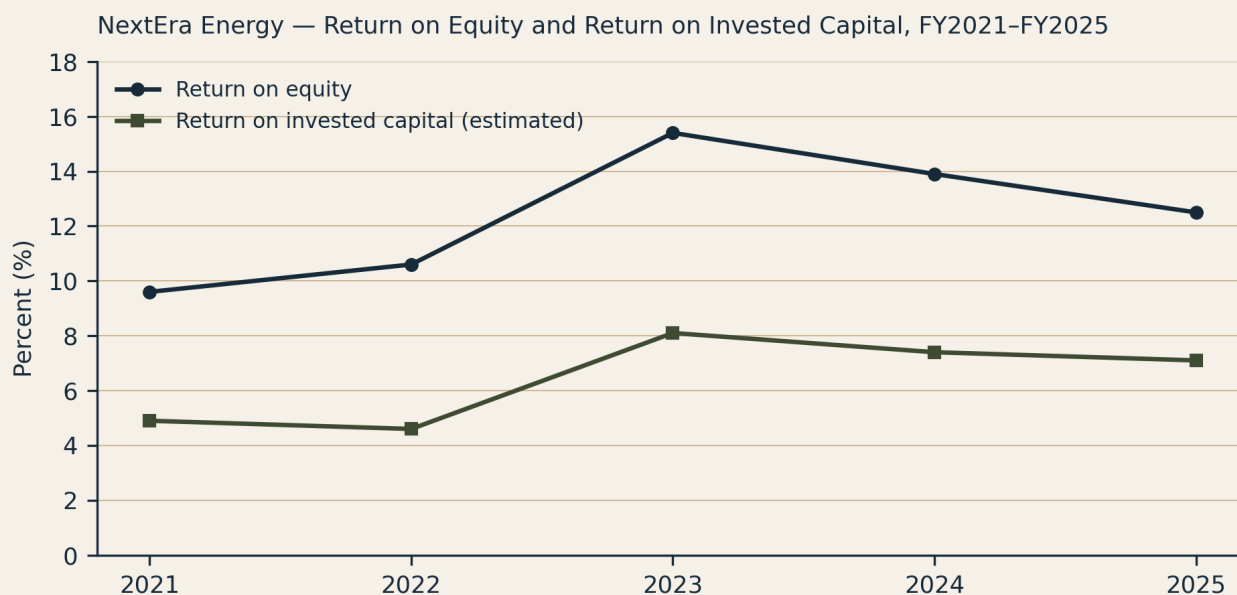


Source: Calculated by the analyst from company-reported income-statement data (Calculated). EBITDA and operating margin swings in 2022 reflect elevated fuel costs passed through at low or zero regulated margin.

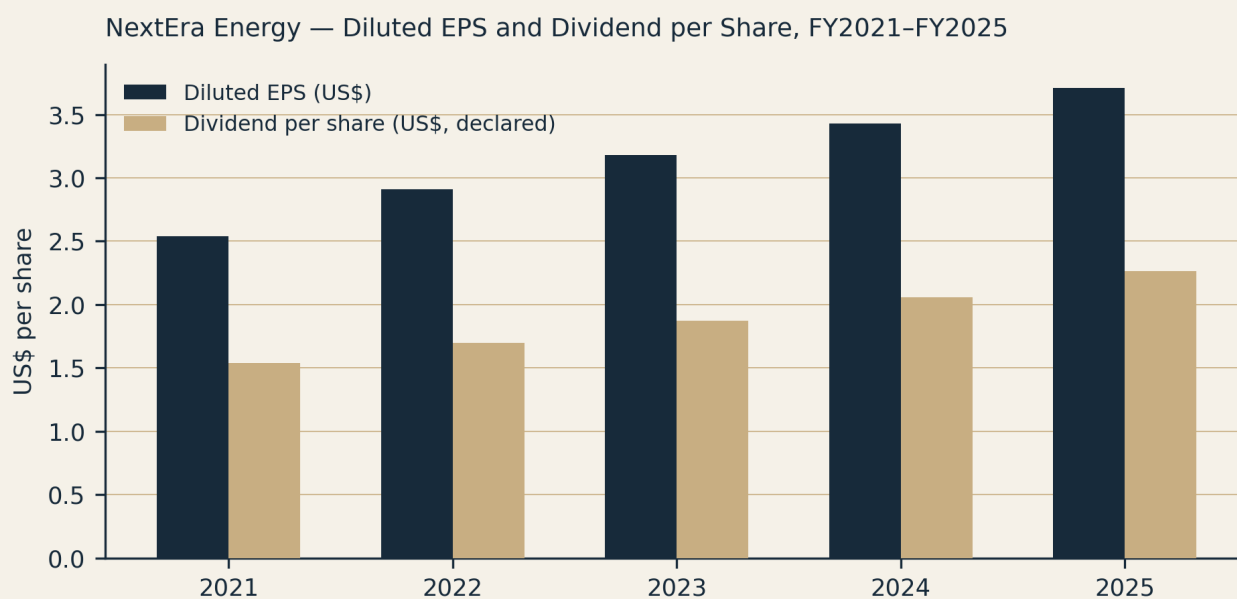
TABLE B1-1: KEY FINANCIAL AND OPERATING METRICS, FY2021–FY2025

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue (US\$m)	17,069	20,956	28,114	24,753	27,476
Gross margin (%)	50.3	48.4	63.9	60.1	62.8
Operating margin (%)	22.8	19.5	36.4	30.2	30.1
EBITDA margin (%)	47.5	42.7	59.6	56.7	58.8
Net margin (%)	20.9	19.8	26.0	28.1	24.9
Diluted EPS (US\$)	2.54	2.91	3.18	3.43	3.71
Return on equity (%)	9.6	10.6	15.4	13.9	12.5
Return on invested capital, estimated (%)	4.9	4.6	8.1	7.4	7.1
FCF margin (%)	-1.6	-7.1	6.2	19.2	11.7
Net debt / EBITDA (x)	6.7	7.1	4.2	5.8	5.7

Source: Calculated by the analyst from company-reported income statement, balance sheet and cash-flow statement data compiled by Alpha Vantage (Calculated). Return on invested capital is estimated as EBIT $\times$ (1 – effective tax rate) divided by average debt plus equity; because NextEra's effective tax rate is frequently negative, this measure should be read as directional rather than precise.

Figure B1-3: Return on equity and return on invested capital, FY2021–FY2025

Source: Calculated by the analyst (Calculated). 2023's peak reflects an unusually low effective tax rate and favourable fuel-clause dynamics rather than a step-change in operating performance.

Figure B1-4: Diluted EPS and declared dividend per share, FY2021–FY2025

Source: Company-reported EPS compiled by Alpha Vantage; dividend per share calculated by the analyst from quarterly ex-dividend declarations (Sourced / Calculated).

B2. Risks

The risk map below separates the categories specified by OCAD methodology; probability and impact are the analyst's qualitative judgement (Reasoned) informed by company disclosure and third-party reporting.

TABLE B2-1: STRUCTURED RISK ASSESSMENT

Category	Risk	Probability	Impact
Business	Florida geographic concentration and hurricane exposure at FPL	Moderate (annual)	Moderate – largely recoverable via regulatory storm-cost mechanisms, with a cash-flow timing lag
Business	NEER backlog conversion risk — announced projects failing to reach contracted, operating status on schedule	Moderate-to-high	Moderate
Financial	Structural reliance on external debt and equity financing given negative-to-thin free cash flow	High (ongoing)	High if capital-market access tightens or cost of capital rises further
Financial	Leverage metrics (FFO/Debt, CFO-pre-working-capital/Debt) close to rating-agency downgrade thresholds	Moderate	High — a downgrade would raise financing costs across the platform
Competitive	Nuclear and gas independent power producers (Constellation, Vistra) competing directly for data-centre offtake	Moderate	Moderate
Technological	Interconnection-queue congestion and battery/solar equipment supply-chain and tariff exposure	Moderate-to-high	Moderate
Regulatory	Federal renewable tax-credit policy change reducing after-tax project returns	Moderate	High for NEER specifically
Regulatory	State and federal (FERC) review of the proposed Dominion Energy merger, including at least one US Senator's request that FERC scrutinise or block the transaction	Moderate	High — blocked or restructured deal would remove the central strategic catalyst
Macro	Elevated long-term interest rates (10-year US Treasury yield near 4.8% in early September 2026) raising the cost of the company's external financing programme	High (present condition)	Moderate-to-high
Valuation	Multiple compression from a premium EV/EBITDA (15.86x) toward peer-average levels (approximately 12.3x)	Moderate	High for near-term share-price performance

THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING SHAREHOLDER VALUE

First, a blocked, materially delayed or heavily conditioned outcome for the Dominion Energy merger review, which would remove the central strategic rationale investors have been asked to underwrite since May 2026. Second, a sustained period of higher interest rates that raises the cost of the external financing the growth programme depends on, compressing returns on new investment and pressuring credit metrics that already sit close to downgrade thresholds. Third, a material reduction in federal renewable-energy tax-credit value, which would directly reduce the after-tax returns achievable on the 35.1-gigawatt NEER backlog that underpins the company's long-run growth guidance.

B3. Valuation

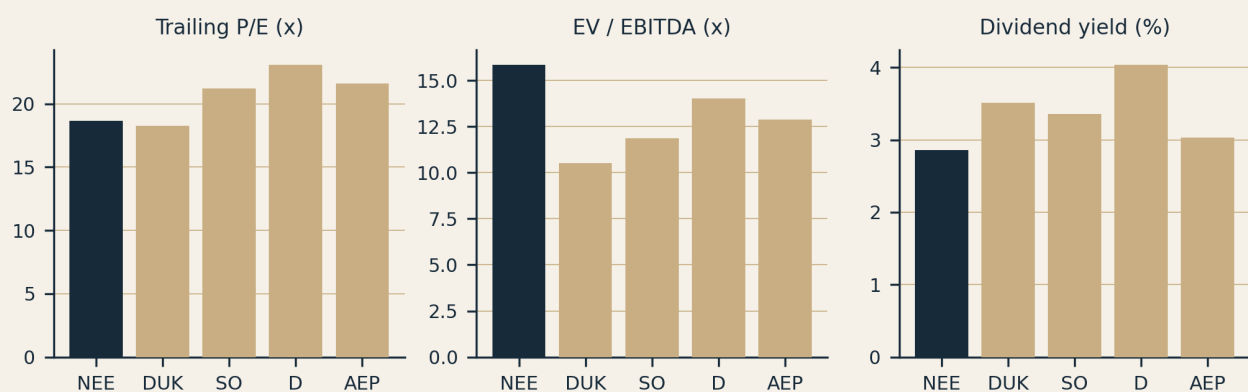
TABLE B3-1: TRADING MULTIPLES — NEXTERA ENERGY VS. REGULATED-UTILITY PEERS

Company	Market cap (US\$bn)	Trailing P/E (x)	EV/EBITDA (x)	Dividend yield (%)	Beta
NextEra Energy (NEE)	175.3	18.68	15.86	2.86	0.65
Duke Energy (DUK)	93.7	18.27	10.53	3.51	0.36
Southern Company (SO)	101.4	21.23	11.86	3.36	0.32
Dominion Energy (D)	57.9	23.10	14.04	4.04	0.62
American Electric Power (AEP)	67.8	21.61	12.87	3.03	0.50

Source: Alpha Vantage market and fundamental data, retrieved 5 September 2026 (Sourced). Peer average EV/EBITDA excluding NEE: approximately 12.33x.

Figure B3-1: NextEra Energy vs. peers — trading multiples

NextEra Energy vs. Regulated-Utility Peers — Trading Multiples



Source: Alpha Vantage, 5 September 2026 (Sourced).

Data discrepancy note (required disclosure): the vendor-reported EV/EBITDA of 15.86x is calculated on a trailing-twelve-month EBITDA basis (US\$14.6 billion) that differs from the US\$16.2 billion fiscal-2025 GAAP EBITDA used elsewhere in this report; recalculating enterprise value (calculated market capitalisation plus latest-reported total debt less cash) against trailing EBITDA produces a multiple of approximately 19.3x. The two figures diverge because of differing measurement windows and possible adjustments in the vendor's EBITDA definition. The vendor-sourced 15.86x is used for the peer table above because it is computed on an identical basis across all five companies; the analyst-calculated 19.3x is the more conservative (higher) reading of the current multiple.

Simplified dividend-discount valuation range

Because free cash flow has been structurally thin or negative, a conventional unlevered free-cash-flow DCF is poorly suited to NextEra Energy at this stage of its capital programme. A two-stage dividend-discount approach is used instead, consistent with how income-oriented utility investors typically value the stock. Assumptions: current annualised declared dividend of US\$2.4928 per share; an explicit three-year growth stage at 6.0% per year for 2026–2028, matching the annual dividend growth policy the company reiterated in its 18 May 2026 merger announcement; a terminal growth rate of 3.5%–4.5%; and a cost of equity derived from the 10-year US Treasury yield of approximately 4.78% (as of 4 September 2026) plus the product of NextEra's beta (0.65) and an assumed 5.0%–5.5% equity risk premium, producing a cost-of-equity range of approximately 7.6%–8.6%.

TABLE B3-2: IMPLIED VALUE PER SHARE — TWO-STAGE DIVIDEND-DISCOUNT SENSITIVITY (US\$)

Cost of equity	Terminal growth 3.5%	Terminal growth 4.0%	Terminal growth 4.5%
7.6%	67.42	76.11	87.60
8.1%	60.07	66.81	75.42
8.6%	54.17	59.53	66.21

Source: Analyst calculation (Estimate) built on the company's sourced 6% dividend-growth policy through 2028. This is an illustrative sensitivity range, not a precise intrinsic-value estimate; the model is highly sensitive to the assumed spread between the cost of equity and the terminal growth rate. At the current share price of US\$83.43, the implied value sits above every combination in the grid except the lowest cost-of-equity, highest-terminal-growth corner, suggesting the market is pricing in either a lower cost of equity than the base assumption or a faster reacceleration of dividend growth after 2028 than the company's own near-term policy commits to — consistent with investors also ascribing value to the combined company's longer-run 9%-plus adjusted-EPS-growth guidance through 2032 (Section C4) rather than the near-term dividend policy alone.

What the current valuation requires (Reasoned): dividend and earnings growth accelerating beyond the company's explicit 6% near-term dividend policy toward the high-single-digit to 9%-plus adjusted EPS growth guided for the combined company through 2032; successful conversion of a large share of the 35.1-gigawatt backlog into contracted, cash-generative capacity; continued access to debt and equity capital at a cost that does not erode project returns; and completion of the Dominion Energy merger without material dilution beyond the announced exchange ratio or costly regulatory concessions. These expectations appear **optimistic** — the dividend-discount range built on the company's own stated near-term dividend policy brackets a fair value mostly below the current price, so the market appears to be looking through 2026–2028 toward the faster longer-run growth rate management has guided to for the post-merger platform, leaving limited room for execution missteps given the premium multiple already embedded in the shares relative to regulated-only peers.

B4. Capital Market and Stock Analysis

TABLE B4-1: PRICE HISTORY AND RETURNS

Period	Level / Return
Close, 4 September 2026	US\$83.43
1-day change	-0.75%
Approx. 3-month return (1 Jun–4 Sep 2026)	-0.3%
52-week high / low	US\$97.30 / US\$67.31
50-day moving average (4 Sep 2026)	US\$85.97
200-day moving average (4 Sep 2026)	US\$86.54
14-day RSI (4 Sep 2026)	43.4
Beta (5-year, vs. broad market)	0.65

Source: Alpha Vantage daily price series and technical-indicator data, retrieved 5 September 2026 (Sourced). Annualised volatility and drawdown below are calculated by the analyst from the approximately three-month trailing daily-price window available at the time of writing and should be read as directional rather than a full-year measure.

TABLE B4-2: VOLATILITY AND TECHNICAL STRUCTURE (THREE-MONTH TRAILING WINDOW, CALCULATED)

Metric	Value
Annualised volatility (trailing ~3-month daily returns)	15.7%
Maximum peak-to-trough move, trailing window	8.9%

Metric	Value
Approx. 52-week drawdown (high to low)	30.8%

The stock closed the third quarter's opening weeks below both its 50-day and 200-day moving averages, and its 14-day relative strength index of 43.4 sits in neutral territory, neither overbought nor oversold. The share price has drifted lower since a mid-May 2026 peak that coincided with the announcement of the Dominion Energy merger, consistent with a market that initially reacted positively to the strategic logic of the deal before longer-term interest-rate pressure — the 10-year US Treasury yield rose toward 4.8% into early September — weighed on rate-sensitive, dividend-paying equities generally. A beta of 0.65 confirms NextEra Energy's lower-than-market sensitivity to broad equity-market moves, consistent with its status as a regulated-utility-anchored income stock, though the pending merger introduces deal-specific volatility that a historical beta calculated over prior periods will not fully capture going forward.

C. Financial Statements

C1. Income Statement

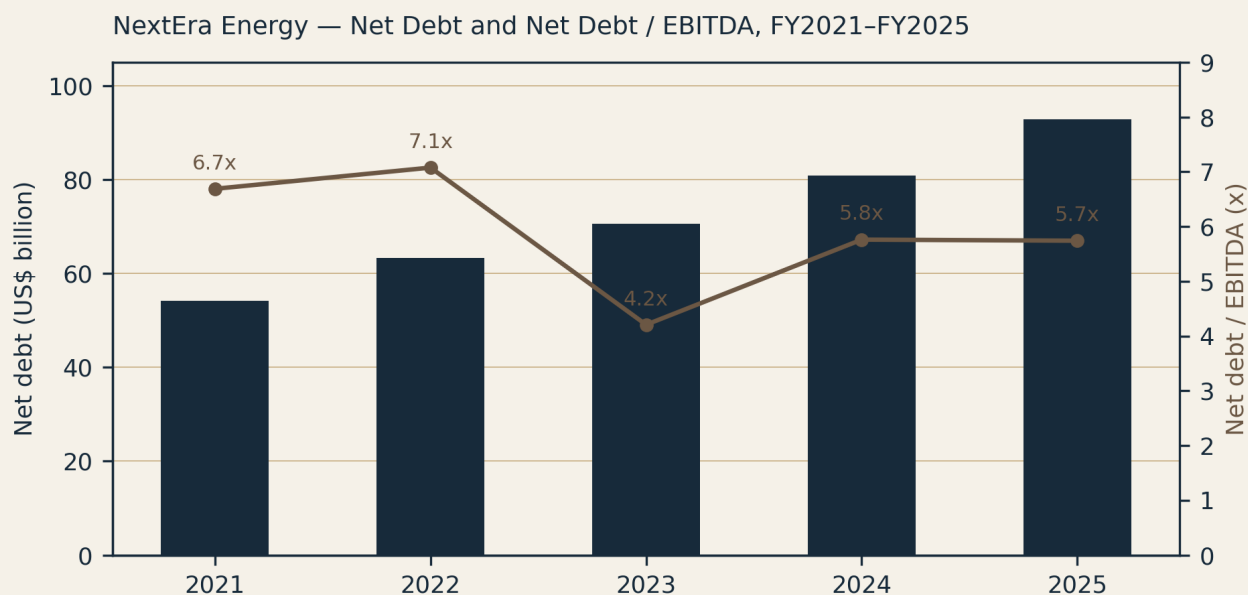
Revenue grew from US\$17.1 billion in fiscal 2021 to US\$27.5 billion in fiscal 2025, a compound annual growth rate of approximately 12.6%, though the path was uneven: revenue rose 34.2% in 2023, fell 12.0% in 2024, and rose a further 11.0% in 2025. This volatility is not primarily organic — a large share of it reflects the fuel-cost pass-through embedded in FPL's tariff (which rises and falls with natural-gas prices without materially changing FPL's own economic margin) together with year-to-year swings in NEER's trading and hedging results. Operating margin followed the same pattern, falling to 19.5% in 2022 — a year of unusually high fuel costs — before recovering to a 30–36% range in 2023–2025. Diluted EPS grew more smoothly, from US\$2.54 in 2021 to US\$3.71 in 2025, a compound annual growth rate of approximately 9.9%, aided in most years by a low or negative effective tax rate driven by renewable production and investment tax credits. Operating leverage is difficult to isolate cleanly given the fuel pass-through mechanic, but the underlying trend — EPS growing faster and more steadily than reported revenue — is consistent with management's guidance of durable high-single-digit earnings growth even as top-line revenue remains volatile.

C2. Balance Sheet

TABLE C2-1: SUMMARY BALANCE SHEET, FY2021–FY2025 (US\$ MILLION)

Item	FY2021	FY2022	FY2023	FY2024	FY2025
Total assets	140,912	158,935	177,489	190,144	212,721
Total liabilities	95,243	109,499	118,465	129,283	146,242
Shareholders' equity	37,202	39,229	47,468	50,101	54,608
Total debt (short + long-term)	54,827	64,966	73,211	82,333	95,619
Cash and equivalents	639	1,601	2,690	1,487	2,812
Net debt	54,188	63,365	70,521	80,846	92,807
Goodwill	4,844	4,854	5,091	4,866	4,849

Source: Company balance sheets as compiled by Alpha Vantage (Sourced); net debt calculated by the analyst (Calculated).

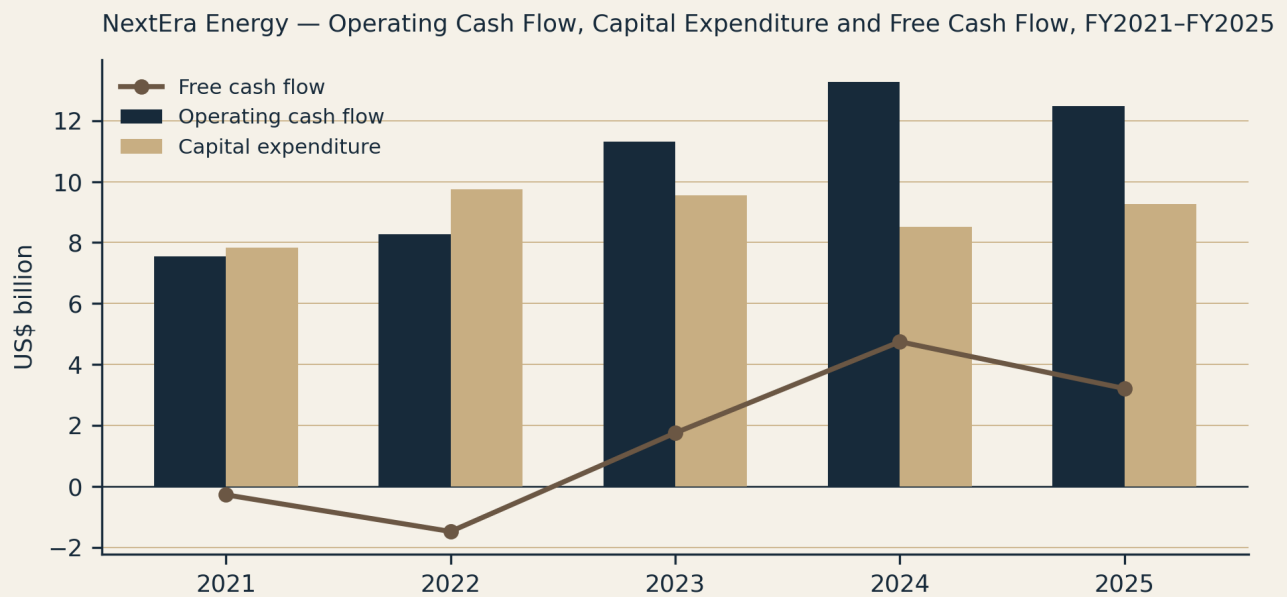
Figure C2-1: Net debt and net debt / EBITDA, FY2021–FY2025

Source: Calculated by the analyst from company-reported balance-sheet and income-statement data (Calculated).

Total assets grew 51.0% and total debt grew 74.4% between fiscal 2021 and fiscal 2025, materially outpacing the 46.8% growth in shareholders' equity over the same period — a balance sheet that has funded its expansion with debt somewhat faster than with retained earnings or new equity. Net debt reached US\$92.8 billion at year-end 2025, and Net Debt/EBITDA of approximately 5.7x sits above levels typically associated with the highest utility credit ratings, consistent with S&P's own published assessment that the company's FFO/Debt ratio (approximately 19.0%) and Moody's comparable CFO-pre-working-capital/Debt ratio (approximately 17.8%) sit only modestly above the roughly 18% and 17% thresholds the agencies have identified as consistent with the current A- rating. Goodwill is a small and stable share of total assets (2.3% in 2025), so goodwill-impairment risk is not a material balance-sheet concern. The primary balance-sheet red flag is the pace and financing mix of growth: continued heavy capital spending funded increasingly by debt, against a leverage cushion the company's own rating agencies describe as narrow, is the central financial risk in this report.

C3. Cash Flow Statement

Figure C3-1: Operating cash flow, capital expenditure and free cash flow, FY2021–FY2025



Source: Company cash-flow statements as compiled by Alpha Vantage (Sourced); free cash flow calculated by the analyst as operating cash flow less capital expenditure (Calculated).

TABLE C3-1: SUMMARY CASH FLOW, FY2021–FY2025 (US\$ MILLION)

Item	FY2021	FY2022	FY2023	FY2024	FY2025
Operating cash flow	7,553	8,262	11,301	13,260	12,485
Capital expenditure	7,830	9,742	9,548	8,514	9,274
Free cash flow	-277	-1,480	1,753	4,746	3,211
Dividends paid	3,024	3,352	3,782	4,235	4,680
Net income	3,573	4,147	7,310	6,946	6,834

Source: Company cash-flow statements as compiled by Alpha Vantage (Sourced); free cash flow calculated by the analyst (Calculated).

Net income has not translated into free cash flow in any of the past five years: free cash flow was negative in 2021 and 2022, and even in the best year shown (2024, US\$4.7 billion of free cash flow) it fell short of net income of US\$6.9 billion. In every year, dividends paid exceeded free cash flow, meaning the dividend itself — not just the growth capital programme — has been funded in part by external financing rather than internally generated cash. This is a common and generally accepted pattern for a regulated utility in an active rate-base growth phase, where capital invested today earns a regulated return over decades, but it is not a self-funding model, and it makes the company's dividend and growth trajectory directly sensitive to the terms on which it can continue to access debt and equity markets.

C4. Forecasting and Projections

Revenue modelling (Reasoned): given the fuel-pass-through distortion in reported revenue, the more informative growth driver is regulated rate base and NEER's backlog conversion, currently 35.1 gigawatts. On a standalone basis NextEra has guided FPL's own capital plan at US\$90–100 billion through 2032; on a combined basis, the company has stated the pro

forma NextEra-Dominion rate base of approximately US\$138 billion is targeted to grow at approximately 11% annually through 2032, underpinning a guided 9%-plus adjusted EPS compound annual growth rate through 2032 (and reiterated through 2035) for the combined company off NextEra's 2025 earnings base — a step up from the near-term 6% dividend-growth policy the company has committed to through 2028 (Section B3). A base-case assumption of high-single-digit combined revenue and EPS growth through the early 2030s is consistent with, though not identical to, this guidance.

Margin projections (Reasoned): FPL's regulated margin should remain broadly stable, moving only with periodic rate-case outcomes. NEER's margin is more sensitive to tax-credit policy, financing cost and the mix of assets reaching commercial operation in a given year; a period of higher financing costs would be expected to compress NEER's margin at the point of new-project financial close, even if it has no effect on already-operating, fixed-rate-financed assets.

Working capital and capital expenditure (Reasoned): capital expenditure is guided at US\$12–13 billion for FPL alone in 2026, with total consolidated capital spending likely to remain at or above the US\$9–10 billion annual pace seen in 2023–2025 for several more years as both FPL's grid programme and the NEER backlog are executed; this implies free cash flow is likely to remain thin-to-negative for the foreseeable future, absent a material slowdown in the investment programme.

Scenario analysis (Reasoned / Estimate)

TABLE C4-1: ILLUSTRATIVE SCENARIO FRAMEWORK

Scenario	EPS growth (multi-year)	Key assumption
Bull case	Approaching or exceeding the top of the 8%-plus guided range	Dominion merger closes on schedule; NEER backlog converts at or above plan; interest rates ease
Base case	Low-to-mid single digits above the low end of the guided range	Merger closes with modest delay; backlog conversion roughly in line with recent history; rates stay near current levels
Bear case	Materially below guidance	Merger blocked or heavily conditioned; tax-credit policy tightens; leverage constrains new investment

Sensitivity (Reasoned): the valuation is most sensitive to (i) the spread between cost of equity and terminal growth in the dividend-discount framework shown in Section B3, where a one-percentage-point change in that spread moves implied value by roughly 15–20%; (ii) the pace of NEER backlog-to-contract conversion; and (iii) the outcome and timing of the Dominion Energy merger review.

C5. Discounted Cash Flow / Dividend-Discount Model

As set out in Section B3, a traditional unlevered free-cash-flow DCF is not well suited to a company whose free cash flow has been negative or thin in four of the past five years by design of its growth-investment programme. The two-stage dividend-discount model presented there — current annualised dividend of US\$2.4928 per share, an explicit three-year 6.0% growth stage matching the company's stated 2026–2028 dividend policy, a terminal growth rate of 3.5%–4.5%, and a cost of equity of 7.6%–8.6% derived from the prevailing 10-year US Treasury yield and the company's beta — produces an implied value range of approximately US\$54 to US\$88 per share, with a central estimate near US\$67 per share at a cost of equity of 8.1% and terminal growth of 4.0%, versus an actual share price of US\$83.43. This range should be read as an illustrative sensitivity band rather than a precise intrinsic-value estimate; small changes in the assumed cost of equity or terminal growth move the result substantially, a known limitation of single- and two-stage dividend-discount and Gordon-growth-style models when the assumed growth rate is not far below the discount rate. The gap between the model range and the market price is itself informative: it implies the market is looking past the company's conservative near-term dividend policy toward the faster 9%-plus long-run adjusted EPS growth guided for the combined post-merger platform.

C6. Leveraged Buyout Model

A leveraged-buyout analysis is not meaningfully applicable to NextEra Energy. Regulated utility holding companies of this scale are rarely LBO candidates because state and federal regulators must approve any change of control of a regulated utility subsidiary, because the existing capital structure is already levered against a regulated rate base in a manner state commissions actively monitor, and because NextEra's own live corporate-development activity — the proposed all-stock acquisition of Dominion Energy — is a strategic, not a financial-sponsor, transaction. No LBO model is presented.

D. Investment Thesis

Bull Case

The Dominion Energy merger closes within or ahead of the company's stated twelve-to-eighteen-month window without material regulatory concessions, creating a combined regulated utility of roughly 110 gigawatts of generation and a US\$138 billion rate base serving about 10 million customers with direct exposure to Virginia's concentrated data-centre market. The NEER backlog of 35.1 gigawatts converts into contracted capacity at or above the historical pace, supported by continued (even if reduced) federal tax-credit availability, and the more-than-130-gigawatt combined large-load pipeline the companies have cited converts into signed contracts faster than the market assumes. Long-term interest rates ease from their current level near 4.8%, lowering the cost of the external financing the growth programme depends on and improving the relative appeal of a growing utility dividend. Under this combination of outcomes, dividend growth accelerates from the 6% near-term policy toward the guided 9%-plus longer-run adjusted EPS growth rate through the early 2030s, and the current premium valuation multiple is maintained or expands further.

Bear Case

The Dominion Energy merger is delayed beyond the stated twelve-to-eighteen-month window, blocked outright, or approved only with material divestitures or rate concessions that undercut the strategic rationale investors have been asked to underwrite. Federal renewable tax-credit policy tightens further, compressing NEER project returns and slowing backlog conversion. Interest rates remain elevated or rise further, increasing the cost of external financing at a time when FFO/Debt and comparable leverage ratios already sit close to the levels rating agencies treat as downgrade triggers; a downgrade would raise financing costs across the entire platform, including at FPL, despite management's stated expectation that the combination itself would improve downgrade-threshold headroom. Data-centre demand growth proves slower to convert into signed, financeable contracts than currently assumed, dividend growth does not accelerate meaningfully beyond the 6% near-term policy, and the premium valuation multiple compresses toward the peer average and toward the dividend-discount range calculated in Section B3.

Base Case

The most reasonable scenario, based on current information, is that the Dominion Energy merger proceeds but with regulatory review consuming most or all of the stated twelve-to-eighteen-month window; FPL and NEER continue to grow combined earnings at a pace near the lower half of management's 9%-plus long-run guided range, with dividend growth stepping up gradually from the 6% near-term policy rather than immediately; leverage metrics remain close to, but do not breach, current rating-agency thresholds; and the valuation multiple normalises modestly from its current premium level as the market reprices the added integration and financing risk associated with the pending transaction.

Catalysts

State public-service-commission and Federal Energy Regulatory Commission decisions on the Dominion Energy merger; quarterly earnings releases and any revision to 2026–2032 EPS guidance; FPL Florida rate-case developments; NEER quarterly backlog additions and their conversion into signed contracts; Federal Reserve interest-rate decisions and the path of the 10-year US Treasury yield; and any credit-rating agency action on NextEra Energy or Dominion Energy.

Things to Monitor

TABLE D-1: MONITORING LIST

Metric or event	Why it matters	Positive signal	Negative signal
Dominion Energy merger regulatory decisions (VA, NC, SC, FERC)	Central strategic catalyst and risk	Approvals granted on or ahead of the targeted schedule with limited conditions	Delay, denial, or material divestiture/rate conditions imposed
NEER quarterly backlog additions and conversion rate	Primary growth driver outside the regulated base	Backlog continues to grow and convert into signed, financed contracts	Backlog growth stalls or announced projects are cancelled or delayed
FFO/Debt and CFO-pre-working-capital/Debt (rating-agency metrics)	Determines credit-rating trajectory and cost of capital	Ratios hold at or above current levels	Ratios fall further below the 18%/17% thresholds cited by S&P and Moody's
10-year US Treasury yield and Federal Reserve policy	Sets the cost of the external financing the growth model depends on	Yields decline, lowering financing costs	Yields rise further, raising financing costs and pressuring the equity multiple
Federal renewable tax-credit policy	Directly affects NEER project economics	Existing transferable-credit framework preserved	Further phase-down or repeal of investment/production tax credits

E. Final Investment Framework

Business quality	A large, investment-grade regulated utility (FPL) combined with the industry's largest contracted renewables-and-storage development platform (NEER); regulated returns are fair rather than exceptional, and the combined model is capital-intensive by design.
Financial quality	Double-digit revenue CAGR and high-single-digit EPS CAGR over FY2021–FY2025, but free cash flow negative or thin in four of five years, funded by continuous external financing.
Competitive position	Leading scale in renewable-project execution and interconnection-queue positioning; increasing competition from nuclear and gas independent power producers for data-centre contracts.
Management	CEO John Ketchum has led an aggressive growth and consolidation strategy since 2022, culminating in the proposed Dominion Energy acquisition; capital allocation prioritises reinvestment and dividend growth over buybacks, funded substantially by external capital.
Industry	Growing and consolidating, driven by a structural inflection in US electricity demand from data centres and electrification, tempered by interconnection-queue congestion and tax-credit policy uncertainty.
Valuation	Trades at a premium to regulated-utility peers (EV/EBITDA 15.86x vendor-sourced vs. approximately 12.3x peer average); a two-stage dividend-discount sensitivity range of roughly US\$54–88 per share, built on the company's own 6% near-term dividend-growth policy, sits mostly below the current US\$83.43 price, implying the market is pricing faster longer-run growth than that near-term policy alone.
Technical and market structure	Low-beta (0.65) defensive equity trading below both its 50-day and 200-day moving averages in early September 2026, with a neutral 14-day RSI of 43.4.
Principal risk	A blocked, delayed or heavily conditioned outcome for the proposed Dominion Energy merger, compounded by leverage metrics that sit close to rating-agency downgrade thresholds.
Principal catalyst	State and federal regulatory approval of the Dominion Energy merger, together with continued conversion of the 35.1-gigawatt NEER backlog into contracted capacity.
Key variable	The pace and profitability of NEER backlog conversion into contracted, cash-generative capacity, combined with the timing and terms of the Dominion Energy merger's regulatory approval.

THESIS INVALIDATION

The investment thesis would become materially weaker if the Dominion Energy merger is blocked or is approved only with material divestitures that remove the anticipated Virginia data-centre growth rationale; if FFO/Debt falls persistently below the approximately 17–18% level that S&P and Moody's have identified as consistent with the current credit rating; or if federal policy materially curtails the transferable renewable-energy tax credits that NextEra Energy Resources relies on to underwrite new wind, solar and storage projects.

F. Company Snapshot

Category	Metric	Current	Prior Year	5-Year Trend
Market	Market capitalisation	~US\$174.0bn (calc.)	n/a	Rising
Market	Enterprise value	~US\$281.4bn (calc.)	n/a	Rising
Market	Share price (4 Sep 2026 close)	US\$83.43	n/a	52-wk range US\$67.31–97.30
Growth	Revenue growth, FY2025	+11.0%	-12.0% (FY2024)	Volatile, CAGR ~12.6% (5yr)
Profitability	Gross margin	62.8%	60.1%	Range-bound 48–64%
Profitability	Operating margin	30.1%	30.2%	Range-bound 19.5–36.4%
Profitability	Net margin	24.9%	28.1%	Range-bound 19.8–28.1%
Profitability	Return on equity	12.5%	13.9%	Range-bound 9.6–15.4%
Profitability	Return on invested capital (estimated)	7.1%	7.4%	Range-bound 4.6–8.1%
Cash Flow	Operating cash flow	US\$12,485m	US\$13,260m	Rising, CAGR ~13.4% (5yr)
Cash Flow	Free cash flow	US\$3,211m	US\$4,746m	Negative in 2021–2022, positive since 2023
Leverage	Net debt / EBITDA	5.7x	5.8x	Range-bound 4.2–7.1x
Valuation	Trailing P/E	18.68x	n/a	n/a
Valuation	EV/EBITDA (vendor basis)	15.86x	n/a	n/a
Valuation	Price / free cash flow (FY2025)	~54.2x (calc.)	n/a	n/a
Market	Beta	0.65	n/a	n/a
Market	Annualised volatility (trailing ~3- month)	15.7%	n/a	n/a
Market	Approx. 52-week drawdown (high to low)	30.8%	n/a	n/a

Source: Company filings as compiled by Alpha Vantage and analyst calculations, as of 5 September 2026 (Sourced / Calculated, as indicated).

G. Sources and Methodology

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Calculations

Analyst calculations

Prepared 5 September 2026

Free cash flow, net debt, margins, return on equity, return on invested capital (estimated), Net Debt/EBITDA, market capitalisation, enterprise value, price/free-cash-flow, annualised volatility, and the two-stage dividend-discount valuation range in Sections B3 and C5 were calculated by the analyst from the sourced data above and are labelled accordingly throughout the report.

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